

26STCV07418 26STCV07418

County: los-angeles

Division: Civil Law and Motion

Department: 731

Hearing date: 2026-09-08

Motion: DEMURRER OF CROSS-DEFENDANTS TECHNO ADVANCED, INC. AND ALFRED O. BABAYANS TO THE FIFTH CAUSE OF ACTION OF THE FIRST AMENDED CROSS-COMPLAINT

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Case Number: 26STCV07418 Hearing Date: September 8, 2026 Dept: 731

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - CENTRAL DISTRICT

TECHNO-ADVANCED, INC., a California corporation,

Plaintiff(s),

vs.

ARC CITY GENERAL CONSTRUCTION, INC. POSTMASTER GROUP, LLC, STACKED PROJECTS LLC; CONTINENTAL DEVELOPMENT GROUP, LLC JURI RIPINSKY, an individual and DOES 1 through 50, inclusive,

Defendant(s).

AND OTHER PLEADINGS IN THIS ACTION.

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CASE NO: 26STCV07418

[TENTATIVE] ORDER RE: DEMURRER OF

CROSS-DEFENDANTS TECHNO ADVANCED, INC. AND ALFRED O. BABAYANS TO THE FIFTH CAUSE OF ACTION OF
THE FIRST AMENDED CROSS-COMPLAINT

Dept. 731

September 8, 2026

8:30 a.m.

Matter No. 9

Moving Party: Cross-Defendants, Techno Advanced, Inc. and Alfred O. Babayans

Opposing Party: Cross-Complainant, Postmaster Group LLC

Notice: OK

Background Facts

Now before the Court is Cross-Defendants Techno Advanced, Inc. and Alfred O. Babayans's July 9, 2026, demurrer to the fifth cause of action stated in Cross-Complainant, Postmaster Group, LLC's May 4, 2026, First Amended Cross-Complaint ("FACC").

The demurrer was partially opposed by Postmaster Group on August 17, 2026, with Postmaster Group responding to the demurrer arguments by largely recognizing pleading deficiencies in the FACC and attaching a proposed Second Amended Cross-Complaint ("SACC") purportedly remedying those deficiencies.

Cross-Defendants' August 25, 2026, reply argues that the opposition's admissions regarding the FACC confirm the arguments on demurrer and that the SACC remains defectively pleaded as to the issues raised on demurrer.

Cross-Defendant's demurrer is now before the Court.

Demurrer

Meet and Confer

The moving papers establish a sufficient meet and confer process preceded the filing of Cross-Defendant's demurrer. (Demurrer, Gilanians Decl., ¶ 2; see Code Civ. Proc., § 430.41, subd. (a)(3).)

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see Code Civ. Proc., § 430.10, subd. (e).) To sufficiently allege a cause of action, a complaint must allege all the ultimate facts—that is, the facts needed to establish each element of the cause of action pleaded. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 212, superseded by statute as stated in Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235, 242.) "[E]ach evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

Discussion

The FACC's fifth cause of action alleges a claim for Disgorgement Pursuant to Business and Professions Code section 7031, specifically as against Cross-Defendants Techno Advanced, Babayans, and Roes 6-20. (FACC, pp. 9-10.)

Under section 7031, any person who utilizes the services of an unlicensed contractor may sue to recover all compensation paid for that work. (Bus. & Prof. Code, § 7031, subd. (b).)

Critically for this analysis, Plaintiff admits the need for leave to amend as to the fifth cause of action. (Opposition, 2:1-2 [“Cross-Complainant acknowledges that its 1st Amended Complaint needs more detail, and as such seeks leave to file a 2nd Amended Complaint.”].) One of the bases therefor is failure to allege the standing pursuant to section 731 for failure to allege “compensation” to Techno Advanced. (Opposition, 4:6-7 [“admittedly while not included in the 1st Amended Complaint, Postmaster agreed to and made the following payments to Techno-Advanced and its subcontractors”].) The opposition also admits defects as to Babayans. (Opposition, 7:1-19 [admitting to defects in pleading of fifth cause of action as to Babayans and proposing amendments remedying defects in SACC].)

Sufficient grounds thus exist to sustain Cross-Defendants’ demurrer.

However, regarding the question of leave to amend, the Court finds in favor of Postmaster Group.

When a court sustains a demurrer, the court should specify whether it is sustained with or without leave to amend. (Code Civ. Proc., § 430.41, subd. (c); see *Martin v. Bridgeport Cmty. Ass’n* (2009) 173 Cal.App.4th 1024, 1031; see, e.g., *Meyer v. Sprint Spectrum L.P.* (2009) 45 Cal.4th 634, 638-639 [court sustained one demurrer with leave to amend and later demurrer without leave to amend].) The court must grant leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*River’s Side at Wash. Square Homeowners Ass’n v. Superior Ct.* (2023) 88 Cal.App.5th 1209, 1239; *Eghtesad v. State Farm Gen. Ins.* (2020) 51 Cal.App.5th 406, 411-412; *Tenet Healthsystem Desert, Inc. v. Blue Cross* (2016) 245 Cal.App.4th 821, 833.)

Here, the parties’ papers, specifically the opposition and reply, show disputes as to the sufficiency of the allegations in the SACC responsive to the arguments raised in Cross-Defendant’s demurrer. To this Court, such dispute, as well as a review of the SACC show a reasonable possibility that ultimate facts necessary to allege a section 7031 violation—rather than the evidentiary facts for which the reply advocates (see, e.g., Reply, p. 5:8-17)—will be alleged in an amended pleading.

If filed, the Court will address merits arguments relating to the SACC at that future time.

Conclusion

Accordingly, the Court SUSTAINS Cross-Defendants Techno Advanced, Inc. and Alfred O. Babayans’s demurrer to the fifth cause of action, with leave to amend.

Cross-Complainant Postmaster Group LLC may file its Second Amended Cross-Complaint within 14 days of this Order.

Cross-Defendants Techno Advanced, Inc. and Alfred O. Babayans to give notice.

Parties who intend to submit on this tentative must send an email to the court at smcdept731@lacourt.org indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party’s email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.

DATED: September 8, 2026 _____

MARK C. KIM

Judge of the Superior Court